
WHITE PAPER · PORTFOLIO & DELIVERY GOVERNANCE

Capital Reallocation Is the Real Portfolio Decision

How to move money and people between budget cycles

Marco Policani

Enterprise Portfolio · PMO · AI Operating Governance

policani.net · linkedin.com/in/marcpolicani

August 2026

EXECUTIVE SUMMARY

A portfolio that cannot move funding and people between budget cycles is carrying out last year's plan. A short review with one owner can move them on current evidence, or record why to hold.

The annual plan records what leaders believed at the start. In a study of 1,616 companies, the capital each business unit received in one year closely tracked the year before. A short review gives one owner a way to move money and people between budget cycles, or to record why not, without reacting to every new number.

- 01** Meet only as often as new evidence can change a decision, and start quarterly if no one can say.
- 02** Write down in advance what puts an allocation back on the table, ask every initiative for the same evidence, name one owner who decides, and end each review with a move or a written reason to hold.
- 03** Give each initiative a decision horizon, the earliest date its evidence can fairly be judged, and count the cost of moving people before moving them.
- 04** Put these rules on a one-page charter, and list what is locked and cannot move.

The plan is not the decision

In portfolios I have governed under a fixed funding ceiling, leaders tended to treat the annual plan as the decision. The effort went into dividing money and people across initiatives, and the split was then defended until the next planning round. That is an observation from practice, not a measured finding.

The decision that tests whether a portfolio is governed comes later. New evidence shows that one initiative is working, another is not, and a third now matters more. Someone must then decide whether to move scarce capacity or leave it where last year's case put it. This paper calls that decision capital reallocation. Capital here means the money and the scarce-skill people a portfolio has too little of. Reallocation means moving them between initiatives while the plan year is still running.

The paper calls it the real portfolio decision for a limited reason. Choosing what to fund mostly happens at the start, when the portfolio has the least evidence it will ever have. Reallocation stays open while evidence arrives, and an annual plan cannot make it. The paper does not claim that it matters more than choosing what to fund. It claims that a portfolio unable to make this decision between budget cycles is carrying out last year's plan, not governing.

Standards and practitioner guidance already name the duty. The Project Management Institute (PMI) lists continuously reviewing, reallocating, and reprioritizing the portfolio among a portfolio manager's responsibilities, and says that updating budgets and plans, traditionally annual, could be scheduled quarterly or follow unscheduled changes.[1] Robert Cooper and Scott Edgett describe portfolio reviews about four times a year, with all projects and all resources on the table, for fast-paced firms.[2] Quarterly reviews are therefore not new. What these sources do not give is a set of rules for what such a review can decide: a trigger written in advance, a common evidence set, one decision owner, a recorded move or hold, and a decision horizon, with the cost of moving people counted. This paper offers that design, built from these and the sources below and untested as a whole.

Practice varies, and the move is uncommon across a whole organization. In McKinsey's 2026 survey of more than 10,000 leaders and managers, 47 percent said their organizations review budget and talent only once a year or less, 45 percent review quarterly, and 7 percent review monthly. Only 30 percent said their organizations reallocate resources across the whole organization.[3] The answers are self-reported and describe whole organizations, not single portfolios. The survey does not say whether the quarterly and monthly reviews can change an allocation, or that any schedule is best.

How little moves after the plan is set

The strongest evidence comes from companies, not initiatives. Stephen Hall, Dan Lovallo, and Reinier Musters, in a McKinsey Quarterly article, studied 1,616 US-listed companies with more than one line of business, from 1990 to 2005. They measured the capital spending each business unit received. From one year to the next, the amount correlated 0.92 on average, and 0.99 for one third of the businesses, which the authors describe as almost exactly the same amount each year.[4] They say operating spending and people show the same inertia, but the figures they report are for capital spending.

EXHIBIT 1

When an allocation sticks, three things tend to stay put**Funding**

Money tends to stay with an initiative after its case has weakened.

Capacity

Scarce specialists tend to stay on work that has become less valuable.

Attention

Reviews tend to check conformance to plan, not whether the work is still the best use of its capacity.

Companies in the top third for reallocation moved an average of 56 percent of their capital spending across business units over the 15 years. Their annual shareholder returns averaged about 30 percent higher than those of companies in the bottom third, a relative difference.[4] This is an association: better companies may both move more and earn more. Over periods shorter than three years, the same study found the reverse. Companies that moved more earned lower returns, which the authors suggest reflects investors waiting for results to become visible. They aim for consistent reallocation over the medium to long term, not dramatic change every year.[4]

The study measures business units inside companies. Applying it to initiatives and teams inside one portfolio is this paper's inference: an approved initiative likely keeps its money and people for reasons similar to those that keep a business unit's capital in place. The sources reviewed here do not test that at the initiative level. The paper therefore uses the figures to show that stickiness is normal and that the payoff from moving may take years to show, not to promise a return.

In this paper's reading, when an allocation sticks, funding stays with an initiative after its case weakens, scarce people stay on work that has become less valuable, and review time goes to asking whether each project matches its plan, not whether it is still the best use of the next dollar or specialist. A project can be on plan and still be the wrong place for the next unit of capacity.

Why money and people stay put

The study shows how much stays put and says less about why. The reasons decide what kind of fix can work. McKinsey asked leaders and managers what gets in the way of moving budget and talent. They named resistance and managerial protectionism (41 percent), inefficient and lengthy decision-making (38 percent), unwillingness to make bold decisions (32 percent), and the lack of a mechanism for reallocating budget and talent (29 percent).[3] These are respondents' views, and the survey does not measure what each obstacle costs.

Hall and colleagues add two causes. The first is anchoring. In a business game with several groups of senior executives, the group shown last year's capital allocation stayed close to it, and the group not shown it allocated according to the market outlook. The second is politics. A leader whose unit wins less than last year is seen as weak, so leaders defend their share.[4] The authors describe both from their work with companies and report no figures for them.

Two more causes come from this paper's own reasoning. Money already spent may be treated as a reason to spend more, though the only open question is where the next dollar, month, or specialist should go. A business case written to win approval may leave a later review little to test, because it has no baseline and no date by which results should show.

Some staying put is sound. Hall and colleagues note that it can be wise to persist when no better use exists or when switching costs are too high.[4] Moving people is the clearest case. A specialist moved to another initiative must learn its context, and the work left behind slows until someone picks it up. That cost is real, differs by team, and is often not written down.

A better dashboard may leave these causes untouched. The four controls in the next section are aimed at them, by this paper's design reasoning and not by any test: the trigger at resistance and politics, the evidence set at anchoring and weak business cases, the decision owner at slow decisions, and the written hold at reluctance to make bold calls. The review loop answers the sunk-cost habit by asking only where the next resources should go. The rules after the controls deal with the cost of moving.

A short review that ends in a move or a hold

The fix is a standing review with one job: decide whether a contested resource should move. A contested resource is money or a team that more than one initiative needs, or that one initiative holds while another could use it better. “The EPMO’s Job Is Capacity, Not Calendars” (an EPMO is an enterprise project management office) explains how to find which people are the limit.

The review meets at the pace set below, and each meeting checks the triggers for every initiative that shares the resource. A trigger that fires between meetings can call the review early. Each review follows one loop: look at the new evidence, compare the resource’s current use with the real alternatives, move it or record a decision to hold, and write down what must be seen before the next review. Where no trigger has fired, the review records that and moves on. The unit of review is the resource and the alternatives that could use it, not one project standing alone. Choices that differ in kind, such as a legal duty and a revenue opportunity that need the same architect, are compared in the open, not hidden behind one score. The rules go on a one-page charter, set out at the end of the paper.

Four controls make the loop work.

1. A published trigger

A trigger is a rule, written in advance, that puts an allocation back on the table. Examples are two missed evidence milestones, a benefit case that no longer matches its baseline, or a better use for the same scarce team. A published trigger is aimed at the political and anchoring causes: nobody has to make a personal act of raising the question, and the burden of proof moves from “what we did last year” to “why this should stay.”

Hall and colleagues describe a calendar-driven rule of this kind at Exxon Mobil: each year the planning team had to put a set share of the company’s assets forward for possible sale, and a division kept an asset only by showing a credible turnaround plan.[4] GAO’s 2004 guidance for federal technology investments asks for reviews at agreed intervals that compare actual with expected results against predetermined thresholds and adjust resources as necessary.[5] Neither tests the effect. “A Portfolio Needs Scenarios, Not a Single Annual Plan” covers choosing signals and thresholds. “Give Stage Gates Teeth by Shrinking What They Decide” covers when an approval expires.

2. A small evidence set

Each initiative brings the same few facts: its starting baseline, early indicators and results so far, remaining cost, expected benefit, and how similar past work turned out. “Portfolio Governance Is a Funding-Discipline Problem, Not a Reporting Problem” describes the one-page evidence each project files for a funding decision. A reallocation review reads the same kind of page for results against the baseline and adds the cost of moving. Bent Flyvbjerg reports that cost and benefit estimates made before a project starts typically differ significantly from actual results, which is why the review sets current evidence beside the baseline and similar past work.[6] His evidence comes mostly from large infrastructure projects, so applying it to a portfolio’s ordinary initiatives is this paper’s inference.

If an initiative brings no evidence, that is a finding, not a pass. The review records the gap and leaves the allocation as it is for that review only, because nothing supports a move. A second review without evidence is itself a trigger.

3. One decision owner

One person, the decision owner, needs the authority to move funding and people across initiative lines. Initiative leads explain their evidence and may contest the record, but they do not decide the trade-off for the whole portfolio, because each is likely to favor one initiative. The Association for Project Management (APM) notes that project sponsors may be required to sacrifice their project priorities for the wider portfolio.[7] Naming one decider is this paper’s design choice, not a finding. It responds to inefficient and lengthy decision-making, the second most common obstacle in the McKinsey survey. “Who Gets to Decide” covers how a named decider closes a choice.

The owner reads the same evidence for every initiative, compares the resource’s current use with the alternatives, adds the cost of the move, and writes down the reason. When a trigger is a missed result, whether the initiative itself should end is a separate decision, covered in “Why the Kill Gate Doesn’t Fire.” The owner here decides where the freed money and people go next.

4. A move or a recorded hold

Every review that finds a fired trigger ends with a change in who gets the resource or a written reason to hold. “We discussed it” is not a decision. A hold is right when the evidence period is too short or a dependency delayed the result. Because a hold needs a written reason, as a move does, staying put becomes a decision someone must defend. For each move or hold, keep five facts: the trigger, the evidence

reviewed, the alternatives considered, the decision owner, and the next observation expected. The last one stops a temporary hold from becoming permanent through silence.

Set the pace, the decision horizon, and the cost of a move

The controls say when to look. They do not say how often to meet or when evidence is mature enough to act on, and getting that wrong turns the review into churn, a run of moves that later reverse or that answer noise.

Pace. Meet as often as new evidence can change a decision, and no more often. Evidence may arrive within weeks for a service portfolio and take months for a product portfolio. To find the pace, ask the lead of each initiative that shares the resource how soon the first measure of results will move if the work is succeeding, then meet at the shortest interval at which at least one of them will have something new to show. If no one can say, start quarterly.

Decision horizon. Each initiative gets a decision horizon, the earliest date its evidence can fairly be judged. Set it at approval: ask the initiative's lead what the first result should look like, by when, if the work succeeds, and what result would change their mind. Before the horizon, a weak reading is recorded and not acted on. Safety, legal, and contract stop conditions override it. After the horizon, the owner may reduce or expand the initiative's share of the resource. A lead who cannot name any horizon has not said what would show the work is succeeding, and that is itself a trigger.

Two guards against churn. The study by Hall and colleagues found lower returns for companies that moved more over periods under three years, and it does not show that moving quickly does harm. The guards are this paper's own reasoning. The first is to act on a reading that holds across two reviews, or on two separate signals, not on a single reading. "A Portfolio Needs Scenarios, Not a Single Annual Plan" describes a similar confirmation window for noisy signals. The second guard is to move only when the expected gain from the new use is greater than the cost of the move. No study sets the right horizon or the right number of reviews.

The cost of a move. Count it. List the ramp-up time on the new work, the slowdown on the work left behind, any contract or hiring limit, and how the people being moved may respond, since a move they did not choose may raise the chance that they leave. The leads of the teams concerned give a range for each, the decision owner checks the ranges against earlier moves, and the total is set beside the expected gain. The estimates will be rough. They bring the cost into the decision, not price it exactly.

What a review looks like when a trigger fires

Consider an illustration built to show the rule. It is not a case. Two initiatives share one specialist team. One is meeting its evidence milestones. The other has missed two and no longer supports the benefit case approved at the start. Under an annual plan, both keep their share of the team until budget season.

Under a published trigger of two missed milestones, the second miss puts the allocation back on the table. At the next review, the owner compares the two uses of the team on each initiative's baseline, current results, remaining cost, and expected result, and adds the cost of the move: the stronger initiative must bring the people up to speed, and the weaker one slows down. The rule calls for moving part of the team only if the gain is greater than that cost.

Now suppose a third initiative misses two early milestones because a dependency arrived late, and its decision horizon has not passed. The trigger has fired, and the rule calls for a recorded hold, with the date of the next look. One test applies to every initiative: is the case for the new use stronger than the case for staying, after the cost of moving?

Objections and costs

One decision owner concentrates power. It does, and the risks are real: favoring the owner's own initiatives, blind spots, and judgment no one examines. Three limits help. The owner should not sponsor any initiative competing for the resource; if the owner does, another executive decides that resource. The record of the five facts is open to the people affected, and initiative leads may contest the evidence before the decision. A charter cannot create authority: if no executive can move money and people across these initiatives, the review can only recommend. "Portfolio Governance Is a Funding-Discipline Problem, Not a Reporting Problem" covers what a review needs in order to decide.

Moving resources damages work that needs stable funding. Core operations, contractual commitments, legal obligations, and capital already committed for several years are not movable. The charter lists what is locked, so the review covers only the movable part. Hall and colleagues note that companies in capital-intensive sectors often commit resources more than five years ahead.[4]

The guards against churn delay needed moves. They do. A move that must hold across two reviews takes two cycles. At a quarterly pace that is faster than waiting

for budget season and slower than reacting to a single reading. A portfolio whose evidence arrives slowly may reasonably choose a longer horizon.

Initiative leads will manage the evidence. They may, in either direction: shaping numbers to avoid a trigger, or holding on to a resource in case it is needed later. An initiative can also skip its evidence once, so a second review without evidence is a trigger. Baselines, similar past work, and the record of holds make gaming visible over time, not impossible.

The review costs time. The initiative leads prepare the same short evidence set, the owner reads it, and the meeting takes a slot. Start with one contested resource, and let the review replace the status meeting for those initiatives instead of adding to it.

The one-page charter

The EPMO, or whichever office supports the portfolio, drafts it, and the decision owner approves it. It is written once for the movable resources and revisited once a year or after a move that went wrong. It has six lines. Four are the controls, written in one line each: the trigger, the evidence set, the decision owner, and the move or recorded hold. Two are settings that this paper adds: scope and pace, and the decision horizon.

EXHIBIT 2

Six lines on one page, written before the evidence shifts

- ① **Scope and pace**
What can move, what is locked, and how often the review meets.
- ② **Trigger**
The signals that put an allocation back on the table.
- ③ **Evidence**
The same few facts from every initiative.
- ④ **Decision owner**
The one person who can move funding and people.
- ⑤ **Move or recorded hold**
A change, or a written reason to hold.
- ⑥ **Decision horizon**
The earliest fair date to judge each initiative.

Publish the charter to the people whose work it may affect. Clear rules let teams prepare the right evidence, challenge a bad record, and understand why one initiative moved while another held.

What to do next

Choose one scarce resource shared by at least two initiatives. It might be funding, an architect, a change lead, or a specialist team. Draft the one-page charter for that resource alone: the trigger, the evidence each initiative must bring, the owner, each initiative's decision horizon, and what is locked.

Run one review before the next planning cycle, even if no trigger has fired, to test the evidence set and the record. If a trigger has fired, end with a move or a recorded hold, plus the next fact you expect to see. If the owner cannot be named, the missing piece is authority, not process. A sound portfolio may rarely move anything, so after two or three reviews read the record instead of counting moves: did each move or hold have a written reason, and did later evidence support it?

The annual plan tells leaders what they believed at the start. Reallocation shows what they do when the evidence changes.

Notes and sources

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About the author

Marco Policani is an enterprise portfolio, PMO, and AI operating-governance leader. He builds portfolio governance systems where AI carries the analytical load and named humans own every decision — an approach documented across case studies, walkthroughs, and working governance guides on his portfolio site.

Portfolio & governance library: policani.net/governance · Full portfolio: policani.net · LinkedIn: linkedin.com/in/marcpolicani

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